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The world system's mutational crisis and the emergence of the new globalization

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Abstract

This presentation examines the evolution of world capitalism after World War II by proposing a framework for understanding the emerging new globalization. It initially distinguishes the four development phases from 1945 to date and then presents converging theorizations of the new globalization. This critical review concludes that the previous regime has structurally matured, giving way to a framework characterized by increased instability and expected consequential crises in socioeconomic terms. A new perception of regionalization also shows that it shifts the existing regime of world development.

Résumé

Cet article examine l'évolution du capitalisme mondial après la Seconde Guerre mondiale en proposant un cadre pour comprendre la « nouvelle mondialisation » émergente. Il distingue dans un premier temps les quatre phases de développement de 1945 à nos jours puis présente des théorisations convergentes de la « nouvelle mondialisation ». Cet revue critique conclut que le régime précédent a structurellement mûri, laissant place à un cadre caractérisé par une instabilité accrue et des crises consécutives attendues en termes socio-économiques. Une nouvelle perception de la régionalisation montre également qu'elle modifie le régime existant du développement mondial.

Keywords: New globalization, economic development, economic crisis, new regionalization, innovation

1. Introduction

According to the evolutionary view of Schumpeter (1942), innovation is the force that "revolutionizes from within" and incessantly the capitalist system. Specifically, capitalism follows an elevating trajectory, which has been examined through several different theoretical prisms, such as the long waves of Kondratieff (1935), the business cycles of Schumpeter (1939), and more recently, the techno-economic paradigm of Perez (1983). These approaches broadly show that capitalism periodically experiences worldwide depressions through the devaluation of specific skills and capital types,

always leading to a new wave of different investments, followed by economic, institutional, and social innovations (Andersen, 2009; Chatzinikolaou & Vlados, 2019).

Another concept that deserves attention is the "world" dimension when analyzing the interconnection of different socioeconomic systems. Capitalism is a specific evolutionary phase in the world economy characterized, according to Marx and Engels (1848), by the forces of waged labor. From a historical perspective, the capitalist world economy—in broad terms—experienced consecutive recession-growth stages and two industrial revolutions to arrive at the Second World War (WWII) tragedy (Grinin et al., 2016; Perez, 2010).

Concerning the more specific concept of globalized capitalism of our days, we identify various definitions that have a converging perspective. Table 1 illustrates some of the main dimensions of this scientific debate.

Source	Definition
Albrow and King, 1990, p. 9	Globalization concerns all processes by which all peoples co-shape a global society.
Giddens, 1990, p. 64	Globalization concerns the intensification of worldwide social relations that lead to the interconnection of distant localities.
Robertson, 1992, p. 8	Globalization is a compression of the world and a reinforcement of global consciousness.
Cerny, 1995, pp. 596-597	Globalization is the sum of economic and political structures that emerge from the goods and assets that constitute the base of the international political economy.
Held et al., 2000, pp. 15-16	Globalization is a set of processes that generate globalized cross-border flows at the level of economy and power.

Table 1. *Globalization definitions.*

Beyond the scope of globalization, some approaches to the overall structure of the phenomenon study the broad historical dynamics of inter-spatial socioeconomic development. Specifically, North (1990) goes far back in time, describing the first economic revolution and the spread of agriculture to arrive at the second economic revolution that incubated the industrial capitalism of the eighteenth century. Also, Dowd (2000) offers an interpretation of the parallel development between political economy theorization and capitalist dynamics, taxonomizing different eras: the industrial revolution and classical political economy (1750-1850), the further capitalist growth accompanied by the prevalence of neoclassical economics (1850-1914), and the period of "chaos, war, and depression" when mainstream economics proves insufficient. Furthermore, the view of Friedman (2005) deserves mention since it suggests dividing globalization into three eras: "globalization of countries" (1491-1800), "globalization of enterprises" (1800-2000), and "globalization of people" (2000-present). In a similar research orientation, James and Steger (2014) offer a genealogy of globalization, identifying that Theodore Levitt (1983) is mistakenly considered the scholar who coined globalization as terminology. James and Steger (ibid) contend that nobody coined globalization as the term developed throughout human history in different academic disciplines and public language use and increased primarily from the 1980s onward.

Thus, this research looks at the turning point and emergence of an increasingly integrated globalization in the 1980s (Vlados, 2004). Following Michalet's (1976, 2005) and Chesnais's (2010) pivotal contributions, we see the onset of globalization in those years due to the globalized expansion of foreign direct investment and the deepening of socioeconomic integration worldwide. In this way, we recognize four eras in the post-WWII (hereafter postwar) world economy, which have the following general characteristics:

I. 1945-1973: First postwar international growth and national development period

II. 1973-1980: Crisis and pre-globalization period

III. 1980-2008: Globalization period

IV. 2008-: New or restructured globalization period

This paper aims to present the evolution of globalization during the 1980s and reaffirm that we live today in a progressively mutating "new globalization." Therefore, this article addresses this research gap by exploring the relevant literature from an integrative and critical perspective and approaching socioeconomic developments by examining various sources from different themes such as international relations and development economics (Snyder, 2019; Vlados, 2019).

The remainder of the study is structured as follows. The second section elliptically presents the central theoretical background we chose for studying these global trends. The third examines the most significant points of the first postwar periods up to globalization, and the fourth section attempts a critical review, suggesting that a "new globalization" emerges nowadays. The fifth section offers concluding thoughts, investigating evolutionary directions for a restructured dipole between globalization and regionalization.

2. Theoretical background

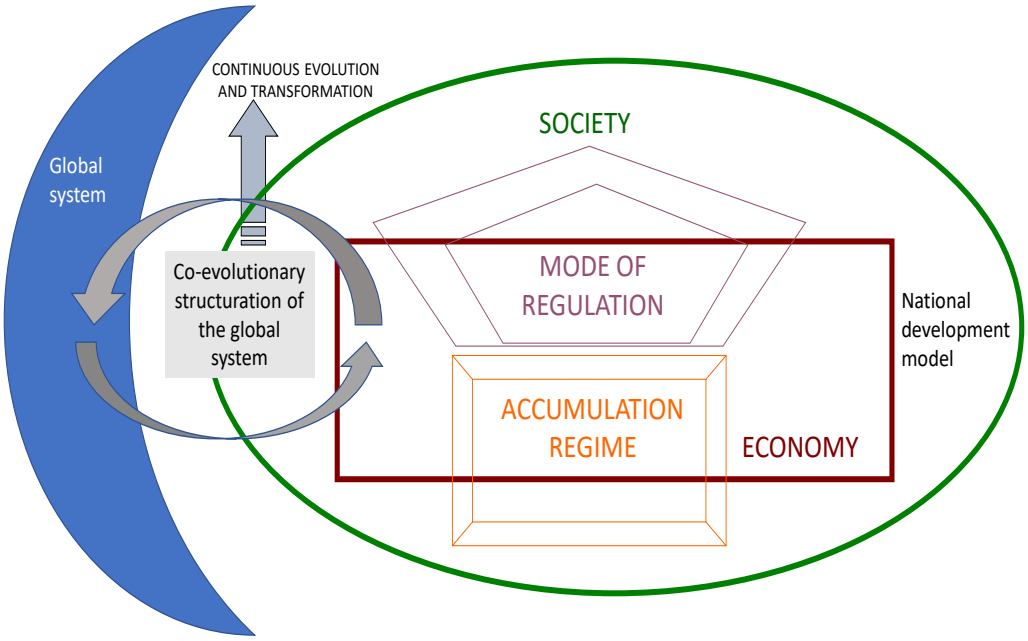
This study uses theoretical elements of the "School of Regulation" (Aglietta, 1979, Boyer and Saillard, 1995). One of the central premises of this approach is that each socioeconomic system enters into historically successive models of development and crisis, which are created as an evolutionary synthesis between accumulation regimes and regulation forms. Specifically, in this approach, the development model of each socioeconomic system is an evolutionary synthesis between the accumulation regime and regulation form of socioeconomic relations. The accumulation regime concerns how different economies organize production, use capital, distribute produced values, compose social demand, and articulate ties with other economic systems. The regulation form relates to institutional dimensions that refer to wage and financial relationships, competition structures, state mechanisms, and insertion into the international regime.

According to Aglietta (1979), one of the reasons for the emergence of this thought school is a growing dissatisfaction with the conventional or established body of knowledge called economic science. The School of Regulation identifies a weakness of the mainstream economic science in analyzing the economic movement through historical time. Also, this established paradigm does not express the social content of economic relations, failing to interpret the power and conflict that have the economic basis as a generative cause. Thus, the School of Regulation proposes refocusing economic research on the birth and subsequent withering of institutional forms from an integrated perspective of socioeconomic symbiosis. Therefore, in the context of this approach, capitalism unfolds in historical phases of development and crisis created by dialectic relations between the socioeconomic varieties that schematize it (Albert, 1993; Hall & Soskice, 2001).

More specifically, even though most theoretical approaches in economic science do not attach central importance to the concept of crisis, the leading explanatory node of the Regulation School lies on this very point. Its primary focus is the simultaneous examination of the properties of a regulation form and its endogenous factors of destabilization within a national socioeconomic system. Contrary to most institutional-type approaches, the School of Regulation, in principle, presents and explains the long-term transformations of the variety of national "capitalisms" as they are structured and evolved diachronically. On this analytical basis, it explores the evolution of the various institutional arrangements at the center of modern capitalist systems, giving interpretive value to the national innovation and production systems.

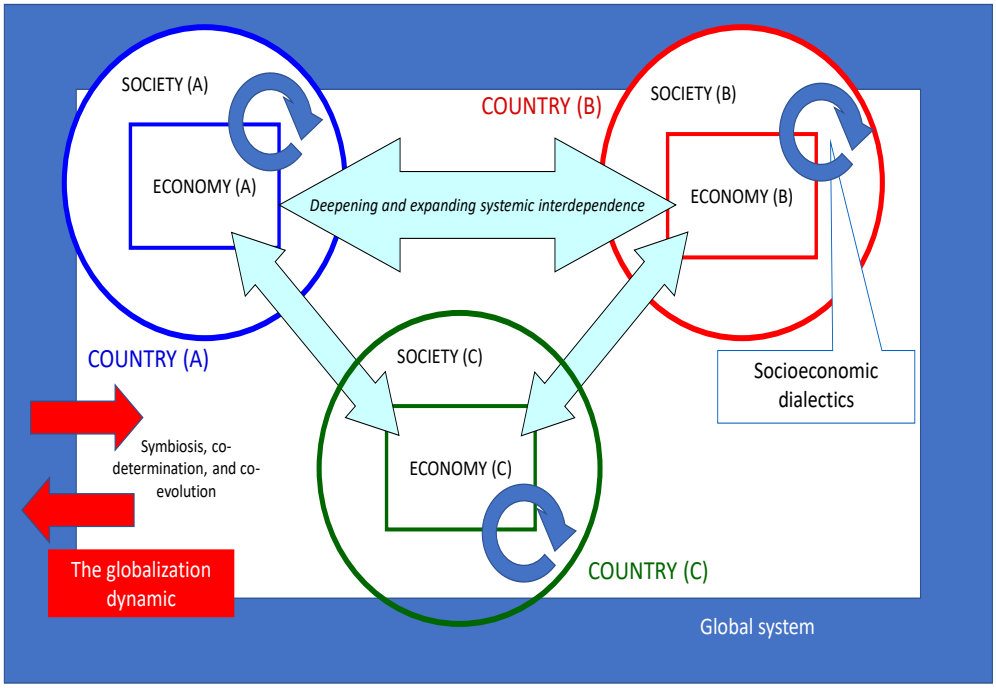
The first theoretical elaborations of the Regulation School focused almost exclusively on the crisis of "nation-centric" Fordism (Boyer, 1986). Nowadays, they seem to extend, with particular interpretive fertility, to the study of the variety and crisis of capitalisms that exist, compete, collaborate, and coexist evolutionarily, shaping the structure of today's world system (see Figure 1 and: Boyer, 2015; Boyer & Durand, 1998; Boyer & Souyri, 2001).

Figure 1: The development model and the socioeconomic system in the context of global dynamics from the perspective of the Regulation School. Based on Chatzinikolaou and Vlados (2022).



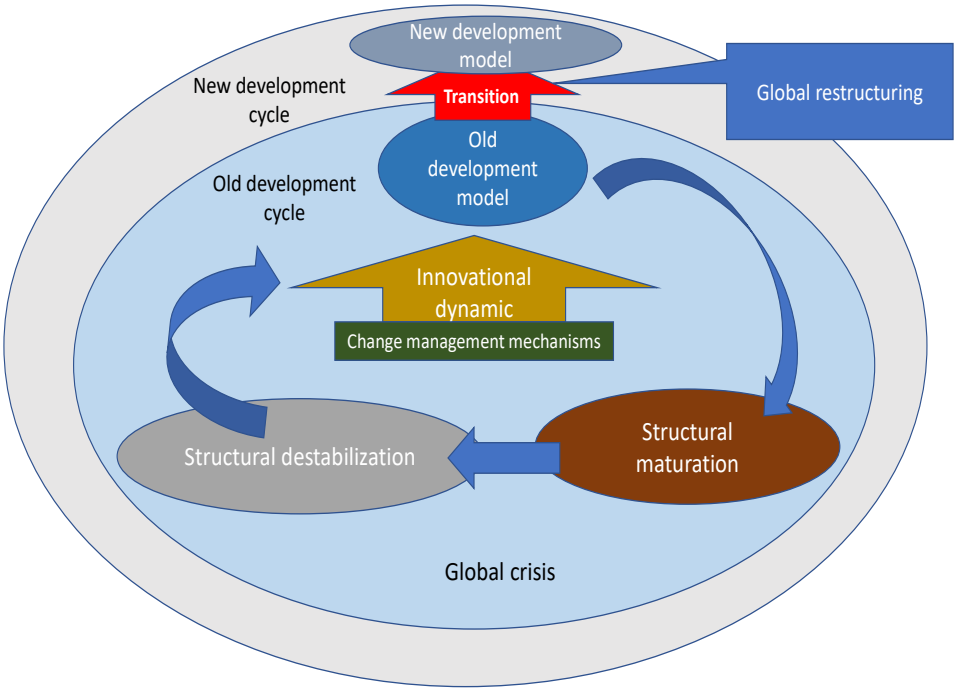
In this way, we define globalization as a systemic evolutionary entanglement of the various levels of regulation in spatial terms—local, national, regional, and global. Thus, globalization means increasing interdependence between the individual structures and the dynamics that co-evolutionarily reshape the various socioeconomic systems (Figure 2).

Figure 2: Globalization and systemic interdependence.



In globalization, each country, as a socioeconomic entity, is increasingly involved with the other, making the world economy a systemic and turbulent whole that reproduces both developmental and crisis perspectives. Thus, the fundamental explanatory platform that we use is related to the transformation and restructuring of today's global system (Figure 3).

Figure 3: The pattern of transition to a new worldwide development model. Based on Vlados et al. (2018).



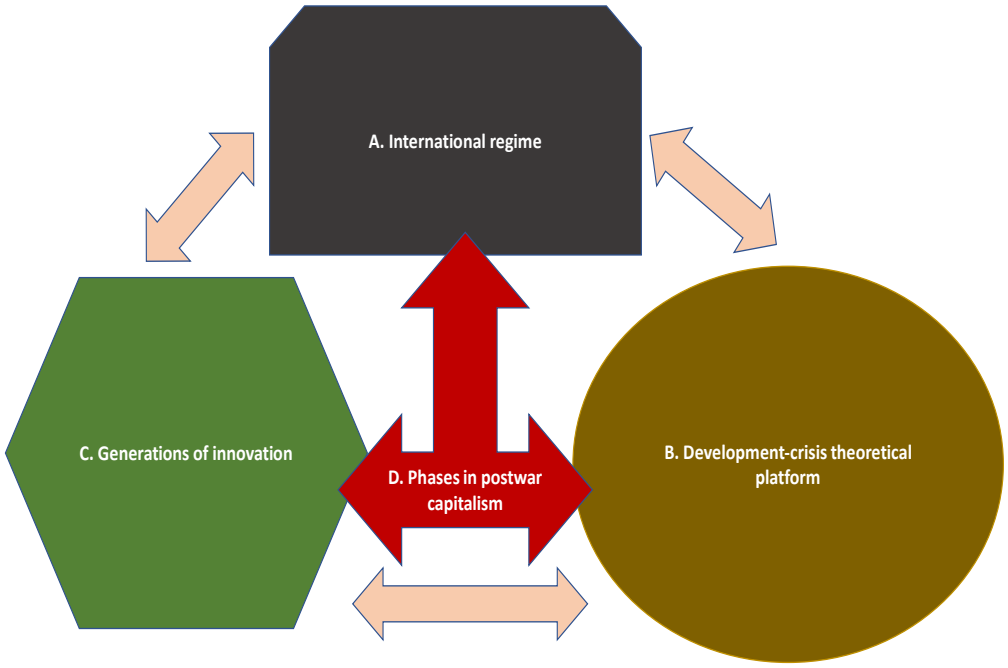
Specifically, the global crisis always arises through structural maturation and destabilization. This old development cycle finally ends when it has exhausted the innovation and change management prospects that give rise to development and crisis. Thus, we are experiencing a transition that gradually shapes the new development model through global restructuring (Vlados et al., 2018).

Therefore, this evolutionary perspective constitutes the theoretical background upon which we analyze the postwar evolution of world capitalism. As we contend, the post-Fordist theoretical framework needs refocusing to contribute to the ongoing restructuring of the global environment of business innovation and growth (cf. De Giorgi 2017). Nowadays, a new structural configuration of globalization seems to be emerging, accelerating the need for strategic re-approach—at all levels—to the new conditions of the global crisis. In the next section, we examine the postwar evolution of world capitalism—the ultimate goal is to explore the emerging "new globalization."

3. The distinct evolutionary phases of the postwar global system

According to Vlados and Chatzinikolaou (2020), who approach the same phenomenon using elements of the Regulation School, the world economy's development phases involve three structural levels: the international regime, the development-crisis theoretical platform, and the generations of innovation. As Figure 4 shows, these three dimensions are interrelated and are co-evolving in each historical period.

Figure 4: The structural triptych for analyzing the world economy after WWII. Based on Vlados and Chatzinikolaou (2020).



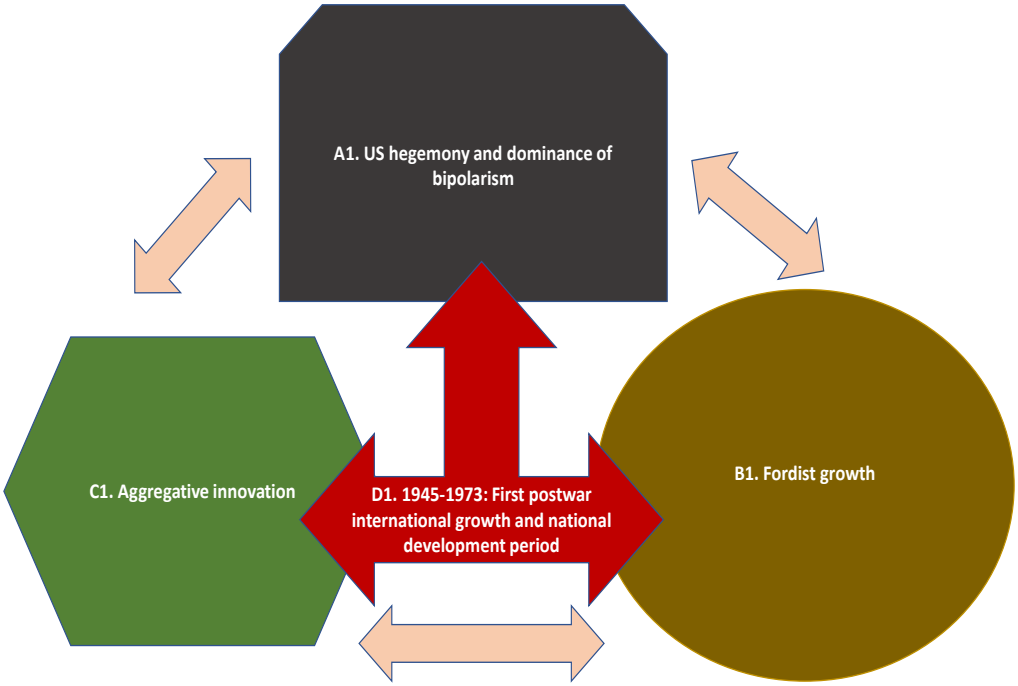
The international regime concerns the integrated interactions of geopolitical actors, leading to a relative agreement and coexistence of the international community. The development-crisis theoretical platform relates to how the regulation form and accumulation regime are linked and co-mutate. Finally, the generation of innovation of each historical period suggests how different actors innovate and impose their competitive advantage.

3.1. 1945-1973: First postwar international growth and national development period

In the aftermath of the WWII catastrophe, a new phase for the world economy began, in which the primary interest was on the rapid reconstruction. The international community became split between the two great geopolitical forces that had recently emerged victorious: the leading capitalist country of the US and the socialist pole centered around the Soviet Union. This division between the two ruling forces generated an international system where smaller nations were satellite states. This phase for the world economy led to a drastic increase in international and cross-border trade, allowing an unprecedented accumulation of national income and investment promotion to most western economies, which recorded a rapid pace of growth and healed the wounds of the war. In this era, larger companies were instrumental in the world economic growth since they focused on increasing mass production to offer more products to the average consumer. Overall, this first age of postwar development involved a nation-oriented growth framework, combined with the rapid international expansion of Fordism with a mass-type production model. These two factors molded a dynamically balanced international order characterized by speedy capitalist

development (see Figure 5 and the following indicatively: Federico and Tena-Junguito, 2017; Watson, 2019).

Figure 5: The first phase. Based on Vlados and Chatzinikolaou (2020).



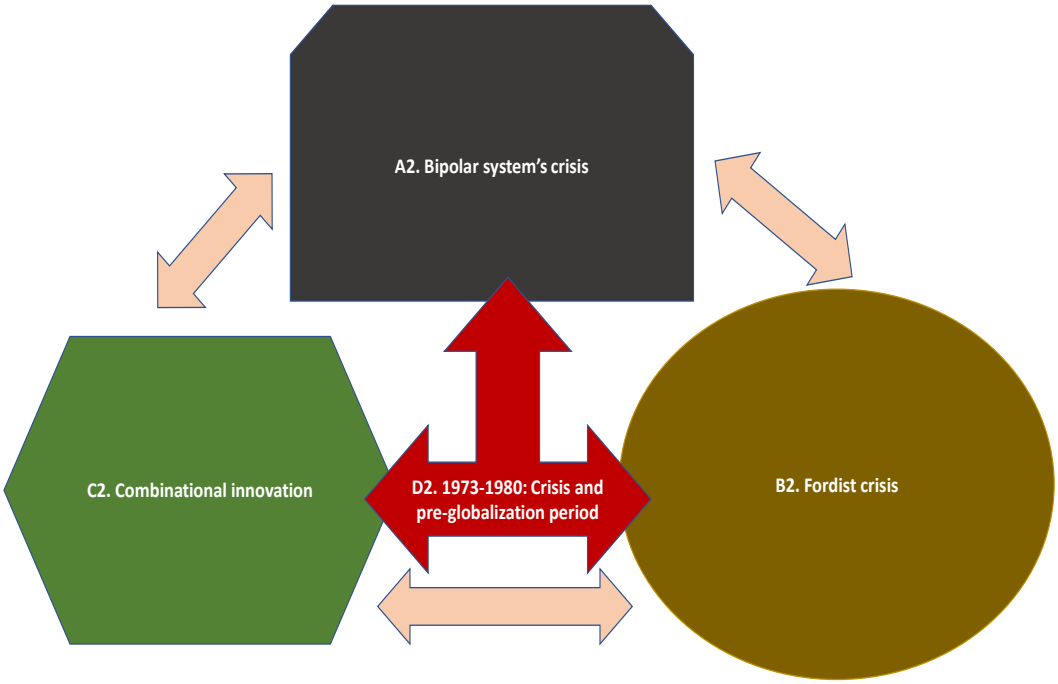
3.2. 1973-1980: Crisis and pre-globalization period

This first postwar international economic development model started to crumble in the early 1970s when the entire world economy came across an unprecedented turmoil. The 1973 oil crisis signaled the outbreak, followed by the 1979 crisis amid growing economic concerns caused by the persistent stagflation. The fixed exchange rates system became dysfunctional since the US dollar ceased to be gold-tied in terms of its exchange rate.[1] This event caused the currency to devaluate significantly for the first time. Also, the welfare state could not meet the new requirements since stagflation was abiding, and the usual Keynesian-type policy instruments were less effective. Against this backdrop, the transnational corporation appeared as the development impetus of the structurally mutated capitalism when it expanded its production dynamic

[1] Nowadays, the hegemonic role of the US dollar in the international monetary system appears to be shifting. The following excerpt by Telò (2014, pp. 4-5) examines a "post-hegemonic" framework for the global system and the US. Specifically, Telò (ibid) argues that "*the US, while maintaining global military primacy for many decades to come, is no longer able and willing to: a) influence the realm of ideas and ideologies to the extent comparable with the decades of the export of the 'American way of life,' when their soft power was able to conquer the consensus of others, allies and neutrals, b) pay the increasing costs of the production of 'international common goods'—including, in particular, supporting the US dollar as an international currency and pillar of the stability of the global trade system for three decades*."

internationally to profit and survive, causing a radical reorganization of national borders. Thus, the global environment progressively entered an organic unification trajectory (in production, consumption, and broader socioeconomic terms), incubating the gradual appearance of globalization (see Figure 6 and the following indicatively: Alpanda and Peralta-Alva, 2010; Davis, 1978; Grubb et al., 1982).

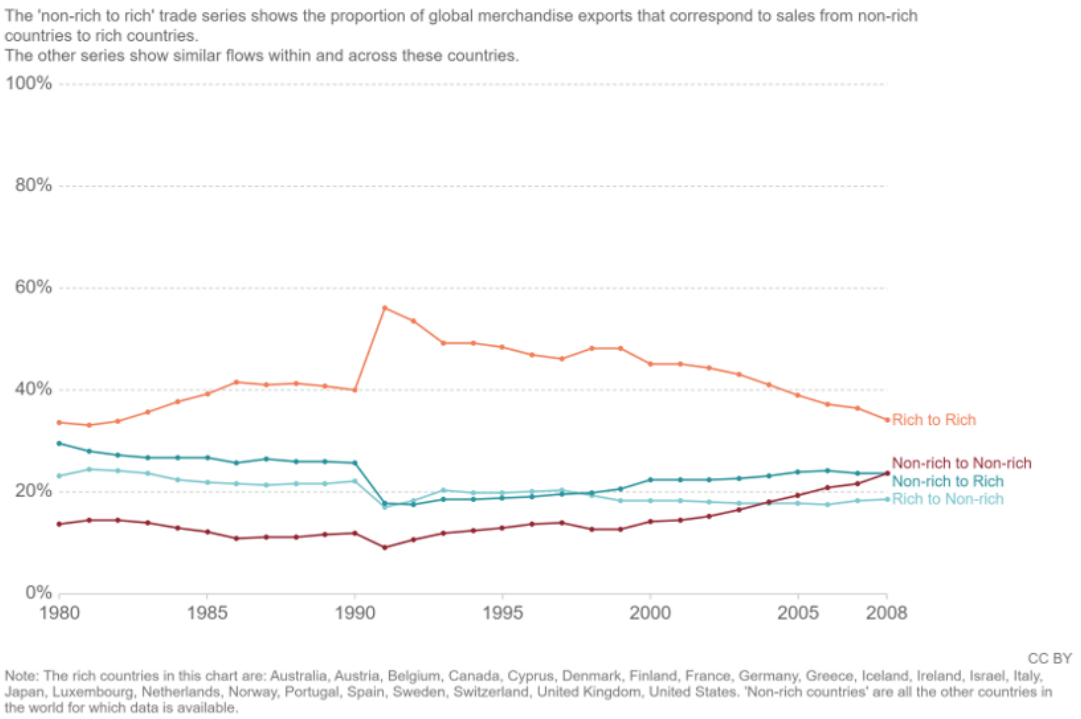
Figure 6: The second phase. Based on Vlados and Chatzinikolaou (2020).



3.3. 1980-2008: Globalization period

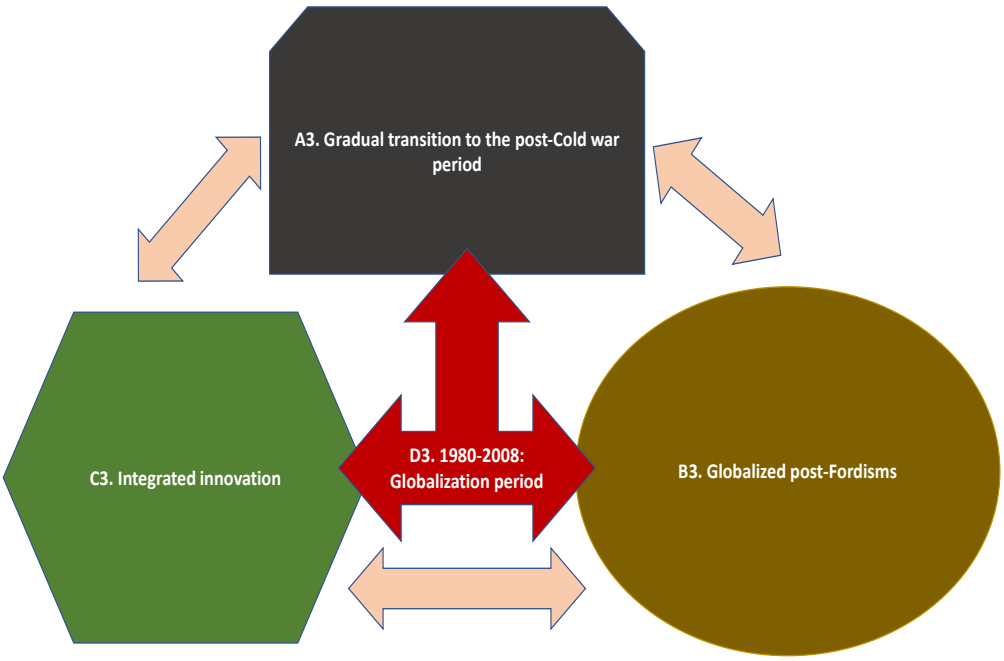
This phase appeared when FDIs became magnified worldwide, signaling the exit from the sweeping global crisis and reaffirming the favorable atmosphere toward the liberalization of markets. As a result, financial flows spread rapidly, causing the appearance of new superpowers and poles of global influence (Figure 7).

Figure 7: Share of global exports by income level of the trade partners. Global flows between rich countries rise over the first years. Next, non-rich countries begin to close the gap. Source: https://ourworldindata.org/trade-and-globalization [Access 3 May 2021]



The largest share of global exports went to the developed economies during the first years of globalization. Then, the exports between the non-rich countries closed the gap significantly (Scholte, 2005). Concurrently, Fordism did not remain the same. Competition continuously intensified, and most large corporations understood that innovation and internal reorganization were prerequisites for success (see Figure 8 and the following indicatively: Baca, 2004; Jessop, 1988; Kiely, 1998; Piore and Sabel, 2000).

Figure 8: The third phase. Based on Vlados and Chatzinikolaou. (2020).



These developments resulted from a restructured regionalization at the global level, the milestone of which was the conclusion of the Uruguay Round with the creation of the World Trade Organization, which contributed to the further opening of international markets (Carpenter et al., 2009). Regionalization as a concept deserves special mention for this period because it refers to the disproportionate concentration of economic resources between geographically proximate areas. This glocal dynamic led during this era to the creation or reinforcement of various regional economic integration organizations such as the ASEAN, MERCOSUR, and BRICS. Thus, many international companies during globalization faced the dilemma of compromising their global strategy versus maintaining locally-focused subsidiaries in different parts of the world (Mansfield & Milner, 1997; Morrison et al., 1991).

This evolutionary phase, which triggered unprecedented rates of growth and prosperity despite the internal dialectics between globalization and regionalization (cf. Hay, 2000), matured structurally and began to transform through successive crises. The following sections examine these structural changes in today's globalized economy, investigating the context of the emerging "new globalization."

4. 2008-: New or restructured globalization period

The symbolic milestone of the next upset is the 2007-2008 period. In the first years of 2007, the US house market raised concerns to the international investment community since it showed signs of fatigue and reversal of positive trends. The US's subprime mortgage market ignited a chain of events since these financial products offered weak collateral by design. This development generated a massive investment and banking earthquake, a domino of financial distrust that led to worldwide sovereign debt crises

within a brief period. Based on the experience of the 1929 Great Depression, several national governments intervened swiftly to restore and strengthen liquidity, preventing a global economic breakdown and finally restoring a fragile recovery (Luchtenberg and Vu, 2015).

Overall, the 2010-2020 decade was turbulent and without a rapid recovery of the pre-crisis growth rates (Brookings, 2019). The major central banks pursued a loose monetary policy as deflationary trends were robust and irreversible. Also, the expected "productivity surge" seems to have never happened due to the introversion tendency of many national economies and their "de-globalization attitude." At the same time, some emerging economies of the 2000s, such as the BRICS, seem to have taken on a repositioned geopolitical role in addition to mild geopolitical power (Vlados & Chatzinikolaou, 2021).

Amid this weak global economic growth, the World Health Organization declared in early 2020 that the COVID-19 disease is a worldwide pandemic. Then, national governments worldwide began to take preventive measures to combat the transmission of the virus, including lockdowns and curfews, social distancing measures, and strict border controls. This extraordinary event created an unparalleled economic shock, profoundly affecting human socialization and the broader world of work (FAO, 2020; ILO, 2020; UNESCO et al., 2020; World Economic Forum, 2020). The first macroeconomic imbalances manifested by the direct effect of the pandemic outbreak have now metastasized to society. These challenges concern new forms of exclusion, inequality, and impoverishment (European Parliamentary Research Service, 2020; International Institute for Democracy and Electoral Assistance, 2020; United Nations, 2020).

This explosive mixture was a ticking bomb on the economic foundations of the world system, leading specific highly protective and introverted regimes to external aggression. These unprecedented geo-economic and geopolitical tensions culminated in the invasion of Ukraine by the revisionist Russia, which a significant part of the political and research community has characterized as against international law (Gaind & Else, 2022; Johnson, 2022). This challenging diplomatic and military crisis shows that it functions as a catalyst for developments in the unfolding new globalization.

Where are we now, and what seems to arise in today's world? What are the priorities for a better future after the current structural and subversive crisis? Table 2 presents some—to a significant extent converging—approaches related to the emerging new globalization.

Source	**Pivotal developments of the new globalization**
Kieh (2008)	A readjustment to all levels of human society due to a rise in information, advances in medicine, and global economic growth
Kotler and Caslione (2009)	A chaotic environment in which a minor trigger can lead to massive turmoil
Dasgupta and Pieterse (2009)	A deepening of political cooperation between the Asian capitalist varieties
Roach (2009)	A rapid transformation of labor markets, in which white-collar work appears resilient

Naisbitt and Naisbitt (2010)	A *sui generis* path to Asian autonomous and nationalistic economic development
Schwab (2016)	A fourth industrial revolution due to the diffusion of the cyber-physical systems
Laudicina and Peterson (2016)	A global hiatus and the entry of the world into polarization
Baldwin (2016)	An opportunity for all actors to emerge winners or losers due to the spread of information technology
Nobis (2017)	A rise of different poles of cultural and economic superiority
Bhattacharya et al. (2017)	A multipolar globalized economy due to diverse development rates of digital platforms and services
Briones et al. (2019)	A deteriorating economic environment as protectionism prevails over cosmopolitanism
Killian (2021)	A problematic integration into digital technology that leads specific social groups to exclusions
Vlados and Chatzinikolaou (2021)	An absence of "trilemma" between democracy, globalization, and national sovereignty and the need for the spread of an innovative and realistic liberalism

Table 2. *Perspectives of the "new globalization" in the related literature.*

Specifically, Kieh (2008) offered one of the first and most significant approaches to the new globalization debate. According to the author, today's new globalization is a new phase incorporating a transformation in all aspects of human endeavors, encompassing an immense rise in information, dramatic advances in medicine, and a swiftly growing global economy. Around the same period, Kotler and Caslione (2009) argued that the "normal" of tomorrow resembles something like chaos. Kotler and Caslione (2009) stressed the growing uncertainty created in this new "chaotic" environment since a minor trigger can spawn massive turmoil, and businesses need to rethink and readapt their strategies. Also, Dasgupta and Pieterse (2009) saw a new emerging balance of twenty-first-century globalization generated by solidifying developing economies against financial storms and the zealous cooperation among the Asian capitalist varieties.

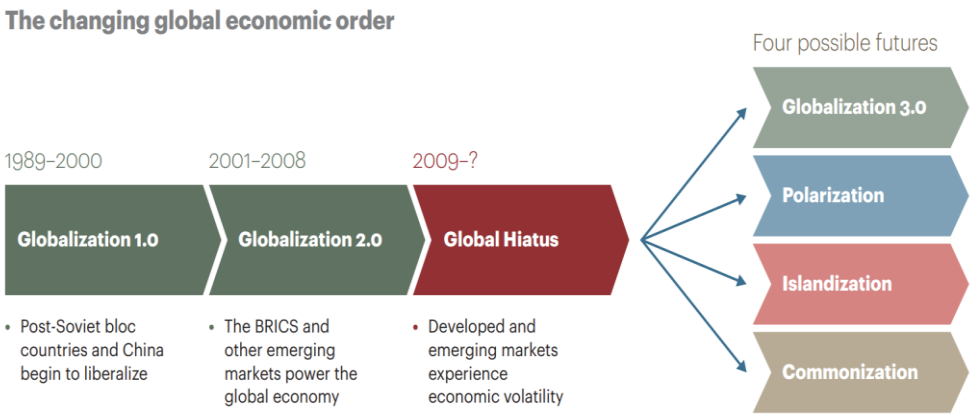
Similarly, Roach (2009) turned on Asia to explain the strain of tomorrow's new globalization, in which the transformation in labor is pivotal. The author suggested that today's required intangibles spread way faster than their counterparts (tangibles) in the early twentieth century. As a result, white-collar work appears to absorb the shock, contrary to the blue-collar one hundred years earlier. Naisbitt and Naisbitt (2010) highlighted China's growing influence in today's globalized world from a related perspective. As the authors argued, Asian nations are not as autonomous and nationalistic as they used to be in the past, cooperating for the first time in matters of common interest and directing the path of tomorrow's globalization centered around the Asian production mode and way of life.

More profoundly, from an economic perspective, Schwab (2016) classified the earlier industrial revolutions and popularized the fourth industrial revolution, arguing that this builds upon the third (diffusion of information technology and production automatization). The fourth industrial revolution causes the fusion of technologies that gradually blur the boundaries between the biological and digital sphere, fostering the rise of "cyber-physical" systems. Schwab (2016) stressed at least five effects of the

fourth industrial revolution on the business environment, government, emerging opportunities and threats, people, and elements shaping the future. First, newcomers now disrupt the incumbent faster by using digital platforms and combinations of technologies. Second, governments increase their repressive power with the digital means available, even though citizens can interact more directly with them. Third, the further production of low-cost goods and services improves the consumer's life, although it worsens inequalities since automation substitutes manual labor. Fourth, artificial intelligence and biotechnology push the ethical boundaries to new frontiers, and privacy appears the most critical challenge for tomorrow. Fifth, all these effects of the fourth industrial revolution can spur enhanced cooperation and assimilation of shared values across the globe, capable of driving humanity to new corridors of prosperity.

Laudicina and Peterson (2016) also approached the evolution of tomorrow's globalization, pointing out a hiatus in today's global order. This report recognized the ongoing regression compared to the past globalization phase, mentioning the increasingly complex rules for transnational entrepreneurship resulting from diminished growth and the revival of geopolitical discrepancies, accompanied by nationalist and protectionist policies (Figure 9).

Figure 9: Four different scenarios for the global system. Reproduced from Laudicina and Peterson (2016).

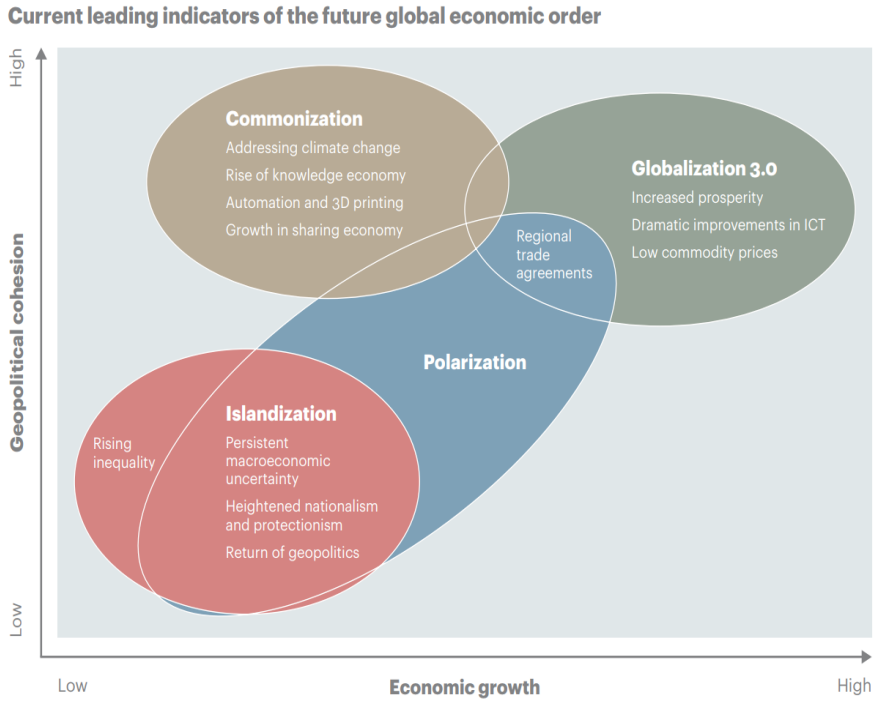


"The first potential future is a renewed chapter of cross-border integration that we call "Globalization 3.0," which corrects for the various systemic deficiencies that we have pointed to in previous sections. The second, "Polarization," marks a return to historical normalcy in which rising geopolitical tensions and economic rivalries divide the global economy into competing blocs of countries. "Islandization" is the third potential future, in which nationalism gains ground in key economies around the world, leading to dramatic protectionist measures and drastically reduced global economic flows. The fourth possible future represents a greater break from the past than ever before. We call it "Commonization" because it entails the rise of a new global commons through additive manufacturing and the sharing economy—and a corresponding fall of the consumer capitalism that has defined the recent past." (Laudicina & Peterson, 2016, pp. 17-18)

Laudicina and Peterson (2016) suggested the end of this hiatus in the future, acknowledging four potential trajectories for the upcoming global economic order. The first scenario is a "third version" of globalization, which brings a renewed transnational integration that ignites international growth. The second is polarization, which signals a "return to the normal" of increased geopolitical confrontation between different blocs

of countries. The third is "islandization," meaning the further rise of nationalism in various significant economies, rapidly reducing global flows, and increasing inequalities. The fourth scenario is "commonization," based on shared values and goods generated by the further diffuse of the sharing economy (Figure 10).

Figure 10: The world system is apparently entering a polarization phase. Reproduced from Laudicina and Peterson (2016).



This report (ibid) concluded that today's world deals with increased polarization, which different leaderships can tackle by applying proactive strategic approaches. As the authors argue, the emerging environment raises unprecedented challenges that form a whole new order in which flexibility will be a crucial success factor for all actors.

In ensuing analyses, Baldwin (2016) opined that we live in a "twenty-first-century new globalization" that differs from the old twentieth-century globalized status quo. The author suggested information technology is the underlying cause since winners and losers can belong in any sector or skill group nowadays and cannot be sure if globalization will bring more benefits or disruption. Also, Nobis (2017) wondered whether such new globalization is rising because of the increasing appearance of "new silk roads" that connect different geographical areas from a cultural perspective (in terms of multiculturalism, values, and norms). Around the same period, Bhattacharya et al. (2017) co-authored a nodal relevant report for a well-known consulting firm, suggesting no regression of globalization but the birth of an entirely new one. This new globalization involves a new economic model, in which evolution is conspicuous in various aspects. The new model is multipolar in politics since sudden changes in regulatory and political interventions are typical in a world where political interests and nationalism prevail over shared global goals. From an economic perspective, the new globalization brings a fragmented global economy of divergent growth rates due to the

rise of developing nations and decline of merchandise trade, translating into lower GDP growth rates, at least in the short term. Also, this report by Bhattacharya et al. (2017) noticed a disintegration of global sectors and supply chains that favored transnational entrepreneurship. Today, the fourth industrial revolution technologies (digital platforms and services) function as stimuli for decentralization, structurally integrating the businesses into their ecosystems.

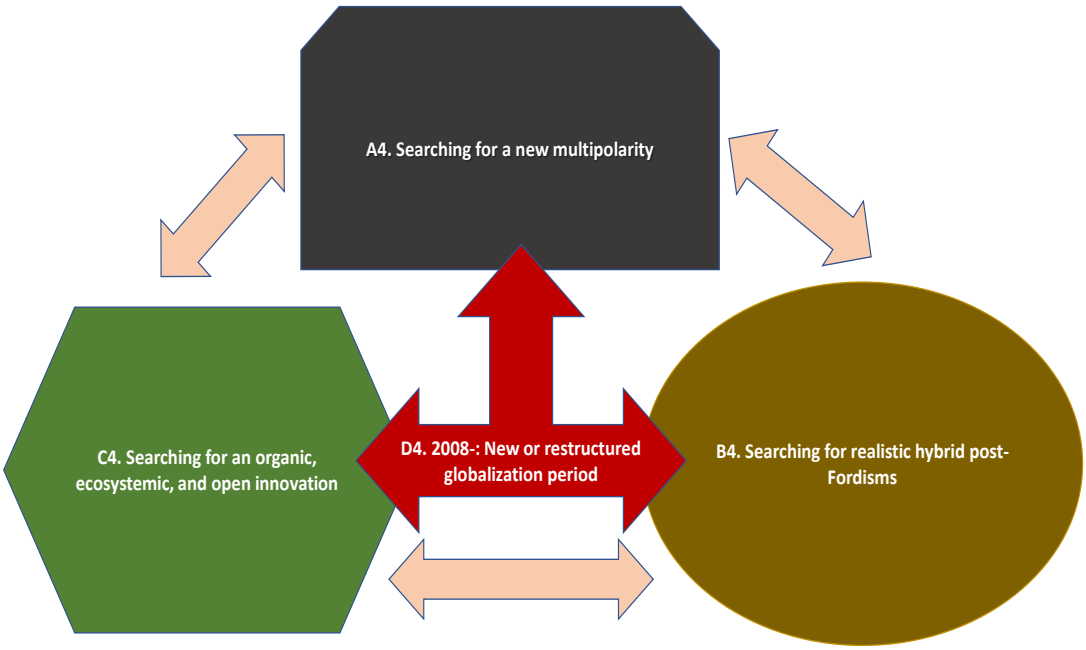
Briones et al. (2019) offered another valuable insight, proclaiming the arising new globalization as a current wave in the world economy (the fourth), characterized by deteriorating social cohesion and inequality, continuous economic restructuring, and threats to international cooperation due to the prevalence of nationalism instead of cosmopolitanism. Furthermore, Killian (2021) highlighted the "dark side" of the new globalization, referring to the social groups that may not benefit from digital technology. Proposals for mitigating such effects on communities, individuals, and nations include heightened international cooperation, labor market reforms, restrictions on monopolies, and universal basic income. More recently, Vlados and Chatzinikolaou (2021) pointed out that "Rodrik's trilemma"—*viz.*, the incompatibility of simultaneous globalization, national sovereignty, and democracy—appears restrictive in explaining today's multipolar global governance and, by extension, the post-COVID-19 new globalization. The authors suggested a "realistic and innovative global liberalism" as an ideological compass for the gradually unfolding new globalization, oriented towards braced global cooperation for supporting inclusiveness via institutional innovations, accompanied by the augmented forces of freedom, pluralism, and democracy.

Therefore, these perspectives offer a significant theoretical arsenal for adapting to today's challenging global environment by recommending seeing globalization as a specific evolutionary phase. The concluding section makes final remarks, suggesting new perceptual orientations related to the future new globalization.

5. Final remarks: Policy directions for the new globalization and restructured new regionalization

This study explored the postwar evolution of capitalism by emphasizing specific developments in socioeconomic and international relations. It concluded that the previous regime is finally over as the emerging "new globalization" begins to acquire a distinct theoretical outline. However, after the Ukrainian war and the "official" revival of past geopolitical upheavals, the positive prospects of a more open form of globalization appear to be gradually declining, without revealing opposite trends on the immediate horizon. Thus, we contend that an inclusive development trajectory for most socioeconomic systems requires a new understanding at multiple levels (see Figure 11).

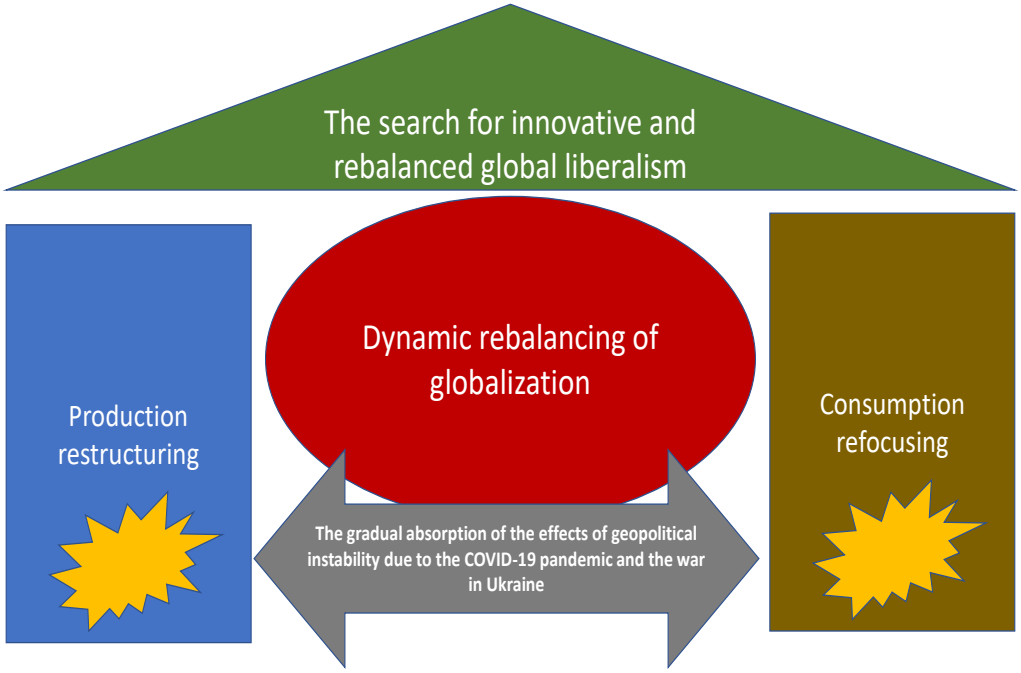
Figure 11: The fourth phase (2008-). Based on Vlados and Chatzinikolaou (2020).



The international regime is increasingly multipolar, favoring the emergence of regional powers in international organizations and matters of global governance (Vlados & Chatzinikolaou, 2021). We argue that today's globalized system requires the democratic empowerment of all players—regional or not—to build a balanced global regime without revising geopolitical tensions. Unfortunately, as we have argued, it seems that multipolarity is currently working only for the benefit of de-globalizing and introverted forces.

At the same time, the emerging new globalization is the latest phase of capitalism, which has historically proven to be the most resilient—and relatively "peaceful"—system for regulating social relations. Thus, we support a refocused ideological direction for all actors, who must aim at their innovative survival. Also, innovation in the new globalization is increasingly complex, resulting from interdisciplinary syntheses. Specifically, the "organic innovation" is the later stage in the evolution of capitalist efficiency as innovative actors gradually understand that they are living organisms that co-shape their external environment and not machines that can always be programmed to deliver the optimal solution. Thus, we argue that the primary direction of the new globalization must follow the ideological principle of innovative and balanced liberalism, oriented towards the rebalancing of globalization (Figure 12)

Figure 12: Searching for an innovative and balanced liberalism.



In this optimistic view, the global system could absorb the effects of the geopolitical instability due to the recent escalating crises and strengthen the consumption and production restructuring forces. In parallel with this optimistic scenario, it seems that the future of global relations concerns a "new regionalization." This regime requires a broad involvement of actors in regional inter-governmental organizations and multilevel cooperation beyond the—mainstream in terms of regional integration—trade and security sectors (cf. Söderbaum, 2014, for the traits of the "old regionalization").

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